KreditBee – Instant personal loan

1. Overview

KreditBee is a digital lending platform that offers fast, accessible, and completely paperless credit solutions for individuals and small businesses. The platform aims to remove traditional banking challenges such as long approval cycles, manual verification processes, and excessive documentation.

KreditBee digitally manages the entire loan lifecycle, beginning with user onboarding and identity verification, continuing through loan approval and disbursal, and extending to repayment monitoring, penalty calculation, and loan closure.

By using automation and rule-based decision engines, KreditBee ensures scalability, operational efficiency, and compliance with regulatory frameworks.

2. Core Purpose

The primary goal of KreditBee is to democratize access to credit through seamless digital workflows and automation. The platform focuses on:

- Reducing loan approval and disbursal timelines
- Enhancing transparency in loan terms and repayment schedules
- Providing flexible repayment options to borrowers

An additional objective is promoting **credit inclusion**. KreditBee leverages alternative data sources and risk-based pricing models to support customers with limited or evolving credit histories, while maintaining effective portfolio risk control.

3. Loan Products Offered

KreditBee provides multiple loan products tailored to different customer needs.

3.1 Personal Loans

Personal loans are unsecured credit options offered to salaried as well as self-employed individuals.

Key Characteristics:

- Loan Amount: Low to medium value
- Tenure: Short to mid-term
- Interest Rate: Higher due to lack of collateral
- Common Use Cases: Medical emergencies, education, travel, personal expenses

Eligibility is determined based on factors such as age, income stability, employment type, and basic credit indicators.

3.2 Business Loans

Business loans are designed to meet the financial requirements of MSMEs and small business owners.

Key Characteristics:

- Purpose: Working capital, business expansion
- Assessment Criteria: Business vintage, revenue consistency, cash flow stability
- Interest Rate: Risk-based pricing
- Repayment Options: Structured EMIs or flexible repayment schedules

These loans support businesses in managing liquidity and scaling operations.

3.3 Two-Wheeler Loans

Two-wheeler loans are secured loans provided for purchasing new or used vehicles.

Key Characteristics:

- Collateral: The vehicle itself
- Interest Rate: Lower compared to unsecured loans
- Tenure: Medium-term
- Risk Level: Reduced due to asset backing

3.4 Loan Against Property (LAP)

Loan Against Property is a secured loan product offering higher credit limits against property collateral.

Key Characteristics:

- Collateral: Residential or commercial property
- Tenure: Long-term
- Interest Rate: Lower due to secured nature
- Use Cases: Business growth, debt consolidation, large expenses

4. User Onboarding and KYC Process

KreditBee follows a mobile-first onboarding approach using OTP-based authentication.

Users register with their mobile number and complete digital KYC verification. The KYC process typically includes:

- PAN verification
- Aadhaar-based authentication
- Address proof validation
- Income or business documentation

Verification is performed through automated systems and third-party services, ensuring compliance with RBI digital lending guidelines.

5. Eligibility and Risk Assessment

Loan eligibility is evaluated using predefined business rules such as:

- Age and income stability
- Employment or business profile
- Credit indicators and repayment history

Borrowers are classified into different risk categories, enabling:

- Risk-based pricing
- Loan amount allocation

- Portfolio risk management

6. Loan Application and Disbursal Workflow

Once onboarding is complete, users can select a loan product and submit an online application.

The platform performs automated checks including:

- Document validation
- Eligibility verification
- Risk scoring and credit assessment

Upon approval, funds are directly disbursed to the borrower's linked bank account.

A loan account is created with details such as:

- EMI schedules
- Repayment timelines
- Penalty and interest rules

7. EMI and Repayment Management

Repayment is primarily managed through an EMI (Equated Monthly Installment) model.

Users can monitor:

- EMI due dates
- Outstanding balance
- Payment history

To reduce defaults and improve collection efficiency, KreditBee supports auto-debit mechanisms such as NACH mandates.

8. Interest Calculation Models

KreditBee applies standard financial interest models.

8.1 Simple Interest Model

$$SI = \frac{P \times R \times T}{100}$$

Where:

- P = Principal
- R = Rate of interest
- T = Time period

8.2 Reducing Balance Interest Model

$$EMI = \frac{P \times R \times (1+R)^N}{(1+R)^N - 1}$$

Where:

- P = Principal amount
- R = Monthly interest rate
- N = Tenure in months

9. Penalties, Charges, and Fees

Late repayment penalties are calculated on a per-day basis:

$$Penalty = EMI \times Rate \times DaysDelayed$$

Other applicable charges include:

- Processing fees
- GST
- Foreclosure or prepayment charges

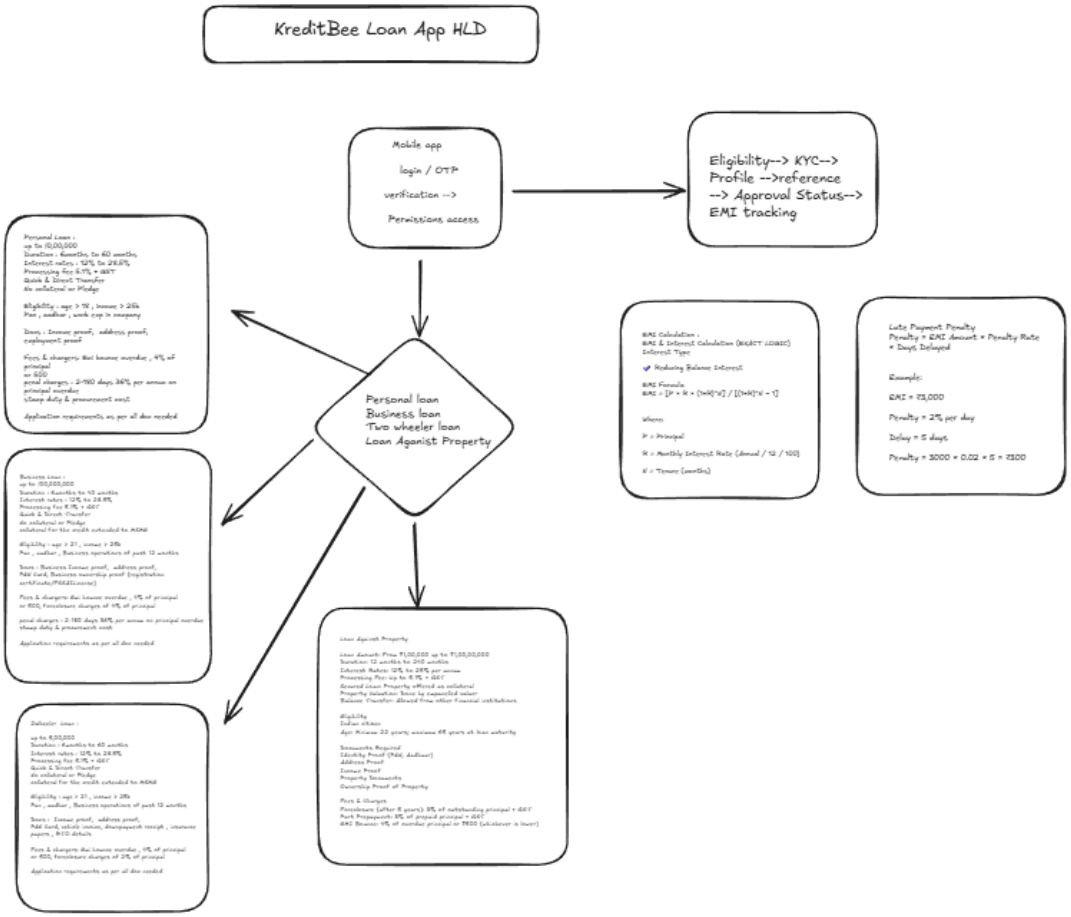
10. Business Model

KreditBee generates revenue through:

- Interest income
- Processing fees
- Late payment penalties

Key operational costs include:

- Customer acquisition

- Verification and third-party services
- Regulatory compliance
- Technology infrastructure

11. Data Flow Diagram